Schedule PC-TBS Sheet 1
PROCUREMENT CHARGE TRANSITIONAL BUNDLED SERVICE

APPLICABILITY

Effective February 19, 2004, this Schedule is applicable to all Direct Access (DA) Customers who switch to DA after February 18, 2004, for whom SCE procures energy on a temporary basis, subject to the Transitional Bundled Service (TBS) provisions adopted by Decision (D.)03-05-034 and Decision (D.) 04-01-013, and as set forth in Rule 22.1, Switching Exemption Guidelines. The TBS provisions require that (1) DA Customers returning to Bundled Service while changing to a new Energy Service Provider (ESP), (2) CCA Customers during the advance notice period as required under Rule 23 for switching to Bundled Service, or (3) for similar or related reasons where TBS is needed, pay for procurement at the short-term spot price as established by the CAISO for the applicable period, with adjustment for additional costs incurred by SCE. Service under this Schedule must be taken in conjunction with the payment of charges under Schedule DA-CRS or Schedule CCA-CRS for those customers to whom Schedule DA-CRS or Schedule CCA-CRS is applicable. (T) | (T) (T) (T)

DA Customers electing to switch from DA Service to Bundled Service, who received TBS from SCE any time during the advance notice period as required under Rule 22.1 for switching to Bundled Service, will also be required to pay the Procurement Charge as set forth below for the applicable period prior to being transferred to the Bundled Portfolio Service rates of the customer's Otherwise Applicable Tariff (OAT).

Customers receiving Community Choice Aggregation Service (CCA Service) electing to switch to Bundled Service, who received TBS from SCE any time during the advance notice period as required under Rule 23 for switching to Bundled Service, will be required to pay the Procurement Charge as set forth below for the applicable period prior to being transferred to the Bundled Portfolio Service rates of the customer's OAT. CCA Service Customers temporarily served by SCE pursuant to Rule 23 Section T.5 will also be required to pay the Procurement Charge as set forth below.

Bundled Service Customers, who are DA eligible pursuant to D.02-03-055 that submit Direct Access Service Requests (DASR) to switch to DA service after December 4, 2003 and before April 20, 2004, will be billed at their OAT until the switch to DA service occurs.

TERRITORY

Within the entire territory served.

(Continued)

Schedule PC-TBS Sheet 2
PROCUREMENT CHARGE TRANSITIONAL BUNDLED SERVICE

RATES

All charges, terms, and conditions of the customer's OAT, or contract rate shall apply, except that the customer's total bill shall be adjusted to reflect short-term procurement costs. Total charges for procured energy, based on the bundled SCE Generation and DWR rate components of the OAT, are replaced by the Procurement Charge for TBS as described below:

1. TBS Procured Energy Cost

The TBS Procured Energy Cost shall equal SCE's total hourly cost of procuring energy from the California Independent System Operator (CAISO) plus SCE's cost of procuring Resource Adequacy (RA) capacity and Renewable Portfolio Standard (RPS) eligible energy. The TBS Energy Cost for each hour shall be the CAISO 10-minute Settlement Interval Average Price, adjusted for the cost of Ancillary Services, Unaccounted for Energy Grid Management, RA capacity and RPS energy incurred by SCE in procuring energy on behalf of TBS customers. (N) (N) (T) (N)

a. Hourly Energy Price
The short term spot price for energy is set at the Hourly Settlement Interval Price for the Integrated Forward Market, as published by the CAISO on the OASIS website on each trading day. (C) (T)

b. Adjustment For Cost of Ancillary Services
An adjustment for ancillary service costs paid by SCE to the CAISO shall be included in the hourly TBS Energy Cost. The hourly ancillary service cost is established, on a $/MWh basis, by dividing the total cost set forth in the CAISO's "Ancillary Service Procurement Summary" by the CAISO system load for each hour.

c Adjustment For Cost of Unaccounted For Energy (L)
An adjustment for the cost of unaccounted for energy is made by multiplying the hourly energy price by a factor equal to one plus the UFE percentage. For example, if the average UFE for a period were 2%, the UFE multiplier would be 1.02. If the average UFE for a period were -2%, the UFE multiplier would be 0.98. The UFE multiplier will be determined using historical information published by the CAISO, and will be determined once every six months. | | | | | (L)

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Schedule PC-TBS Sheet 3
PROCUREMENT CHARGE TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

1. TBS Procured Energy Cost (Continued)

d. Adjustment For Cost of Grid Management
An adjustment for the CAISO grid management charges (GMC) will be included in the hourly procured energy cost. The GMC charges are published by the CAISO and subject to modification. The GMC adjustment will include charges for Energy and Transmission-Net Energy, for Energy and Transmission Services-Deviations and for Market Usage.

e. The CAISO Grid Management Charge for Congestion (Charge Type 522 Interzonal Scheduling GMC) is not included in the TBS rate.

f. The cost of RA will be based on the Forecast and Final RA Market Price Benchmarks for System, Flexible and Local RA calculated annually by the Commission pursuant to Decision 19-10-001. (T)

g. The cost of RPS energy will be based on the Forecast and Final RPS Market Price Benchmark calculated annually by the Commission pursuant to Decision 19-10-001. (T)

For the application of the RA and RPS MPBs in 1.f and 1,g, SCE converts their values to cents-per-kilowatt-hour “adders” and add them to the hourly energy price as determined in 1.a., as follows: (N)

(i) Market Price = Hourly Energy Price + RPS adder + RA adders.
(ii) RPS adder = RPS% * RPS MPB, where the RPS% is equal to the fraction of RPS eligible electric energy in SCE’s PCIA-eligible portfolio for bundled service customers, as approved in SCE’s annual ERRA Forecast proceeding.
(iii) RA adders = Local adder + Flex adder + System RA adder:

(1) Local adder = (∑ NQC L* Local RA MPB) / Forecast Total PCIA-Eligible MWh for bundled service customers, where NQC L is equal to the sum of Net Qualifying Capacity (NQC) for all Local RA resources in the PCIA-Eligible portfolio for the most recent vintage year
(2) Flex adder = (∑ NQC F* Flex RA MPB) / Forecast Total PCIA-Eligible MWh for bundled service customers, where NQC F is equal to the sum of NQC for all Flexible RA resources in the PCIA-Eligible portfolio for the most recent vintage year
(3) System adder = (∑ NQC S* System RA MPB) / Forecast Total PCIA-Eligible MWh for bundled service customers, where NQC S is equal to the sum of NQC for all System RA resources in the PCIA-Eligible portfolio for the most recent vintage year after accounting for the volumes of Local and Flexible RA.

The TBS rate will be updated annually, effective January 1, using the forecasted RA and RPS MPB values for the forecast year. The MPB values will not be trued up. (N)

(L)

(Continued)

Schedule PC-TBS Sheet 4
PROCUREMENT CHARGE TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

2. TBS Procured Energy Charge (L)

a. Non-Time-of-Use Rate Schedules

The amount of the TBS Procured Energy Charge shall be the rate group average TBS procured energy charge multiplied by the customer's metered kWh during the billing period or, for unmetered service, by the monthly kWh shown in the applicable rate schedule.

The rate group average procured energy charge for the billing period is the sum of the products of the hourly TBS energy cost, adjusted for the cost of ancillary services, unaccounted for energy and grid management, determined as described in Section 1 above, and the hourly load percentages from SCE's Statistical Load Profile for the applicable rate group, and the hourly Line Loss Adjustment Factors determined as set forth in Section 3 below for the applicable service voltage and an uncollectible expense factor of 1.00313 and franchise fees. This average procured energy cost is calculated on a weekly basis using all calendar weeks from the time of the customer's previous billing through the calendar week prior to the current billing and is utilized for all billing executed through the following week. (L)

b. Time-of-Use Rate Schedules

The amount of the TBS Procured Energy Charge shall be the sum of the products of the rate group average procured energy charge in each time-of-use period, as defined in the applicable rate schedule, and the customer's metered kWh in each time-of-use period during the billing period.

The rate group average procured energy charge for each time-of-use period is the sum of the products of the hourly procured energy cost, adjusted for the cost of ancillary services, unaccounted for energy and grid management, determined as described in Section 1 above, and the hourly load percentages from SCE's Statistical Load Profile for the applicable rate group, and the hourly Line Loss Adjustment Factors determined as set forth in Section 3 below for the applicable service voltage and an uncollectibles expense factor of 1.00313 and franchise fees. This average procured energy cost is calculated on a weekly basis using all calendar weeks from the time of the customer's previous billing through the calendar week prior to the current billing and is utilized for all billing executed through the following week.

(L)

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Schedule PC-TBS Sheet 5
PROCUREMENT CHARGE TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

3. Distribution Line Loss Adjustment Factors (L)

Distribution Line Loss Adjustment Factors shall be calculated on an hourly basis for each service voltage. The day-ahead hourly forecast of total system load in megawatts ($Load_h$), as determined by SCE, shall be used in the calculation of the Distribution Line Loss Adjustment Factors:

Service metered and delivered at voltages greater than 50 kV:

$$\text{Loss Factor} = 1 + [(14.3 / Load_h) + (0.000000495 * Load_h) + 0.00497]$$

Service metered and delivered at voltages between 2kV and 50kV:

$$\text{Loss Factor} = 1 + [(20.3 / Load_h) + (0.00000267 * Load_h) + 0.00979]$$

Service metered and delivered at voltages below 2kV:

$$\text{Loss Factor} = 1 + [(87.4 / Load_h) + (0.00000452 * Load_h) + 0.00642]$$ (L)